

1-2 Generally Accepted Accounting Principles (GAAP)

Financial information in the United States is based on

Objective 2 - Describe generally accepted accounting principles, including the underlying assumptions and principles.

generally accepted accounting principles (GAAP) (Generally accepted guidelines for the preparation of financial statements.)

. GAAP is a collection of *accounting standards*, *principles*, and *assumptions* that define how financial information will be reported.

- **Accounting standards** (The rules that determine the accounting for individual business transactions.)
are the rules that determine the accounting for individual business transactions.
- **Accounting principles** (Principles that provide the framework upon which accounting standards are constructed.)
and
assumptions (Assumptions that provide the framework upon which accounting standards are constructed.)
provide the framework upon which accounting standards are constructed.

Within the United States, the

Financial Accounting Standards Board (FASB) (The authoritative body that has the primary responsibility for developing accounting principles.)

has the primary responsibility for developing accounting standards. The FASB maintains an electronic database, called the

Accounting Standards Codification (An electronic database maintained by the Financial Accounting Standards Board (FASB) that contains all of the accounting standards that make up the generally accepted accounting principles (GAAP).)

, that contains all the accounting standards that make up GAAP. Changes in the FASB Codification are made using

Accounting Standards Updates (Published changes to accounting standards that are the source of updates to the Accounting Standards Codification.)

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The

Securities and Exchange Commission (SEC) (An agency of the U.S. government that has authority over the accounting and financial disclosures for companies whose shares of ownership (stock) are traded and sold to the public.)

, an agency of the U.S. government, has authority over the accounting and financial

disclosures for companies whose shares of ownership (stock) are traded and sold to the public. The SEC normally accepts the accounting standards set forth by the FASB. However, the SEC may issue *Staff Accounting Bulletins* on accounting matters that may not have been addressed by the FASB.

Outside the United States, most countries use accounting standards and principles adopted by the

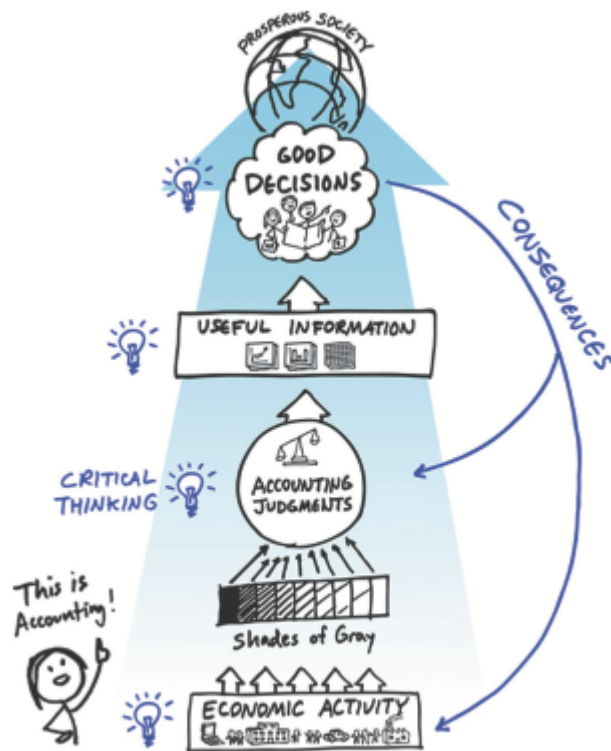
[**International Accounting Standards Board \(IASB\)** \(An organization that issues *International Financial Reporting Standards* for many countries outside the United States.\)](#)

. The IASB issues *International Financial Reporting Standards* (IFRS). In some cases, differences exist between FASB and IASB accounting principles. These differences are identified throughout the chapters of this text and in [Appendix A](#).

Business Insight

Pathways Commission

The Pathways Commission issued its study titled *Charting a National Strategy for the Next Generation of Accountants*. The Commission was made up of diverse members and was jointly sponsored by the American Institute of Certified Public Accountants (AICPA) and the American Accounting Association (AAA). The Commission emphasized the importance of accounting for a prosperous society and good decision making. The Commission also emphasized that accountants must be critical thinkers who are comfortable addressing the shades of gray required by accounting judgments.



Using Data Analytics

What Is It?

A company's success will increasingly rely on the ability to collect, interpret, and gather insights from massive volumes of data.

Data analytics (The science of analyzing large amounts of raw data, sometimes called "big data," to discover patterns, identify anomalies, or gain other useful insights for decision making.)

is the science of analyzing raw data to discover patterns, identify anomalies, or gain other useful insights. The four basic types of data analytics are as follows:

Descriptive analytics Describes and summarizes outcomes.

Example: a sale report by product, region of country, and customer.

Diagnostic analytics Tries to explain results by identifying relationships among data.

Example: determining whether a YouTube video featuring a product increased sales within 48 hours after its first showing.

Predictive analytics Uses statistical methods to predict future outcomes.

Example: predicting the effects of methods for creating customer satisfaction on future sales.

Prescriptive analytics Recommends future actions for achieving company goals and objectives.

Example: analyzing the effects of energy saving alternatives on meeting the company's goal of reducing greenhouse gas emissions by 25%.

Data analytics is conducted using a variety of mathematical models, algorithms, and visualizations. Because of accounting's role in providing useful information, accountants are increasingly using data analytics to help businesses make better decisions. For this reason, we provide suggestions for the use of data analytics

throughout the remainder of this text.

Chapter 1: Introduction to Accounting and Business: 1-2 Generally Accepted Accounting Principles (GAAP)

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